Going back to our current view on the market, we would highlight the following. MSCI China is trading at around a 5% valuation premium to EM, on 1.6x trailing price/book value, and yet with ROE at 12% is delivering a 20% ROE premium. We have similar forecasts for China and EM of low teens earnings growth in 2017, in both cases coming off two bad years for earnings, but our higher forecast return for China comes from our expectation of relative multiple expansion, from around parity now to a 10% premium by the end of the year.

The catalyst for this re-rating is not, we suspect, any rapid reversal of foreign investors' underweight stance on China, though we think that will reduce, but much increased Southbound Connect flows from the Chinese mainland into Hong Kong. These flows are increasingly institutional in nature and are taking advantage of discounted H share valuations relative to A shares for dual-listed names.

Quality Hong Kong-listed names such as Tencent, China Mobile and AIA, which are not listed onshore, also offer diversification benefits for domestic investors. These southbound flows are running at close to US$1 billion per week in the year to date and we expect around US$30 billion to US$50 billion cumulatively for this year in total.

我們對當前市場的看法，可總結為以下要點。MSCI中國指數的交易估值溢價，比MSCI新興國家指數高出5%，即歷史本益比/賬面價值的1.6倍，但股本回報率卻高達12%，帶來20%的股本回報率溢價。由於中國與新興國家均經歷了兩年的收入不景氣，我們預計兩者在2017年錄得低於15%的收入增